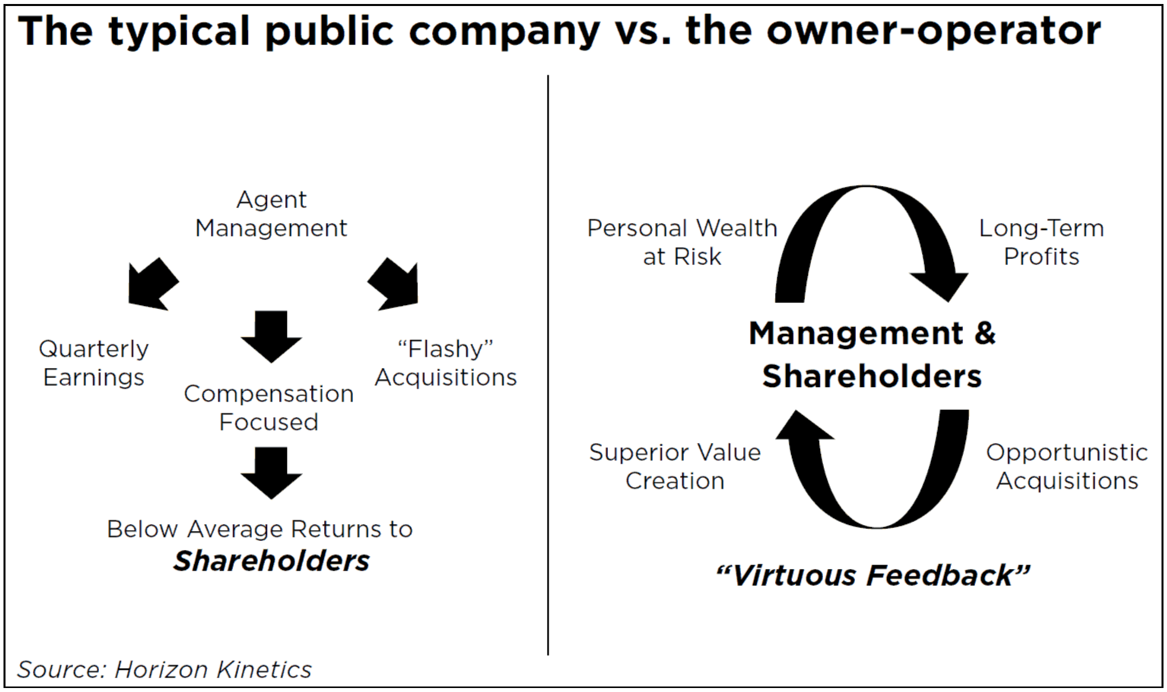

The Virtus Wealth Masters Fund (VWMCX), managed by Murray Stahl and Matthew Houk, focuses on owner-operator companies. For a stock to get in the fund, management "must maintain a significant vested interest."

Stahl and Houk write,

> By virtue of the owner-operator's significant personal capital being at risk, he or she generally enjoys greater freedom of action and an enhanced ability to focus on building long-term business value (e.g., shareholders' equity). The owner-operator's main avenue to personal wealth is derived from the long-term appreciation of common equity shares, not from stock option grants, bonuses or salary increases resulting from meeting short-term financial targets that serve as the incentives for agent-operators.

An example of such a holding is Colfax Corp. (CFX), a maker of a variety of industrial products. The brothers Steven and Mitchell Rales own 24 percent of the stock. They also own 15 percent of Danaher Corp., a similar company. "The return on Danaher shares held over the past 10 years would have been over 3.4 times," the fund managers note, "and well over 59 times if held for 22 years. Colfax is a reprise of